

**Before the
Federal Maritime Commission**

Docket No. 24-17

Samsung Electronics America, Inc.

v.

**Orient Overseas Container Line, Limited,
and OOCL (Europe) Ltd.**

v.

Samsung Electronics Company, Ltd.

**RESPONDENTS' APPEAL OF ORDER GRANTING
COMPLAINANT'S MOTION TO DISMISS THE COUNTERCLAIM**

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I. INTRODUCTION

Respondents and Countercomplainants Orient Overseas Container Line, Limited and OOCL (Europe) Ltd. (“OOCL,” “Countercomplainants,” or “Respondents”) appeal pursuant to 46 C.F.R. 502.227(b)(1) from the March 31, 2025, Order of the Presiding Officer (“Order”) granting the motion of Samsung Electronics America, Inc. (“SEA,” Counterrespondent,” or “Complainant”) to dismiss the Counterclaim.

II. PROCEDURAL HISTORY

On March 24, 2024, SEA filed a Complaint (“Complaint”) against Respondents, alleging, *inter alia*, that Respondents had improperly charged SEA a purportedly substantial amount of \$12.5 million in detention, demurrage “and associated charges,” based on the theory that the mere notation of store door delivery on a bill of lading means that the ocean carrier is responsible for charges resulting from SEA delays in picking up cargo or returning equipment, no matter what the service contract and incorporated tariff may say to the contrary. OOCL moved on May 13, 2024, to dismiss all counts of the Complaint. On October 18, 2024, after an opposition by SEA (June 14, 2024) and a reply by OOCL (June 28, 2024), the Presiding Officer granted the motion in part, dismissing two counts of the Complaint. Order Partially Granting Motion to Dismiss (ALJ, October 18, 2024, Administratively Final).

SEA filed an Amended Complaint (“AmComplaint”) on December 2, 2024. OOCL submitted its Answer, including a Counterclaim against SEA on December 12, 2024. On December 17, 2024, OOCL filed a Third-Party Complaint against Samsung Electronics Company, Ltd. (“Samsung”), SEA’s parent and the entity that negotiated and signed the relevant service contracts with OOCL (to which it bound SEA as an affiliate). Samsung filed a motion to dismiss the Third-

Party Complaint on January 29, 2025, to which SEA responded, and Samsung replied. That motion remains pending before the Presiding Officer.

On January 6, 2025, SEA filed a motion to dismiss the Counterclaim. On March 31, 2025, after a response by Countercomplainant (January 21, 2025) and a reply by Counterrespondent (January 28, 2025), the Presiding Officer issued the Order under review. This appeal followed on April 16, 2025.

III. FACTUAL BACKGROUND

The facts recited below are from the Countercomplaint, the allegations of which must be accepted as true for purposes of this motion to dismiss.

The claims made by SEA in its Complaint arise from services provided by OOCL during the 2021-2022 time period, pursuant to Service Contracts between it and Samsung. At the time it negotiated these Service Contracts with OOCL, Samsung required that the trucking of its cargo be done by motor carriers chosen by its consignee (“customer-nominated trucker” or “CNT”). (CC, ¶3¹). SEA was one of Samsung’s consignees and was designated as an Affiliate of Samsung in Appendices to the Service Contracts. (CC, ¶¶8-9) As a named Affiliate, SEA was bound to the Service Contracts’ terms and conditions. (CC, ¶¶5-6). Pursuant to the terms of the Service Contracts and the tariff incorporated therein by reference, Samsung, and SEA as owner of the shipments for which it was designated as consignee, employed the CNTs it used and remained responsible for directing their activities. (CC, ¶¶17, 33). OOCL paid these motor carriers for the trucking of shipments moving under “store door” terms but made these payments solely as an agent

¹ In this respect, each of the Samsung RFQs provided under paragraph 6, captioned “Customer Service”, as follows:

“Preferred Trucker & Delivery - Carriers are required to provide local delivery service with consignee’s preferred trucker if any. (CNT = Customer Nominated Trucker)” Id.

for Samsung. (CC, ¶¶17; 32). OOCL's role was limited with respect to the CNTs and any activities it performed were done solely as an agent for the principal, Samsung. (CC, ¶¶17; 32).

One of OOCL's conditions for agreeing to the Service Contract and providing Samsung/SEA with the lower rates offered thereby (compared to tariff rates or other service contracts offered by OOCL), was that, should Samsung/SEA use a CNT, SEA, not OOCL, would be responsible for any delay costs associated with the trucking by the CNT. Apart from paying the truckers as agent for Samsung, OOCL was not responsible for any charges incurred by SEA or its CNT, such as detention, demurrage, and storage at ocean terminals, rail terminals, or other facilities. (CC ¶33). Samsung/SEA agreed to this condition by signing the Service Contracts when it knew or should have known that, as quoted immediately below, it was agreeing to bear the responsibility for any delay costs.

In this respect, the Service Contract to which Samsung agreed, and to which it bound SEA, included incorporation of the following provision of Tariff Rule OOLL-100 Rule Number: T-26, which stated:

“[W]hen a customer nominated trucker (CNT) is used for store door delivery for inbound shipment . . . at the request of Shipper (or any other entity with an interest in the cargo), it is hereby agreed that the following terms and conditions shall apply: • Carrier will act *as agent of Shipper* for purposes of arranging the trucking, *and the contract of carriage for inland door delivery transportation shall be deemed to be between the trucker and Shipper* or the owner of the cargo. The *CNT will be employed by the Shipper* or the owner of the cargo, *not Carrier*, even though Carrier's rates are inclusive of door delivery. Carrier shall pay the CNT only as agent for Shipper.” (CC, ¶17) (emphasis added).

SEA and its CNTs ran up significant detention and demurrage charges without any fault by OOCL. (CC, ¶¶33-39). These costs were fully attributable to SEA's mismanagement of its CNTs, and SEA's own decisions to use terminals and OOCL containers for storage, as an alternative to obtaining additional warehouse space. (CC, ¶¶33-39). Moreover, SEA and its CNTs repeatedly failed to return OOCL's empty containers prior to the expiration of free time, without fault on the

part of OOCL (CC, ¶37), thereby accruing detention. Given that SEA has not identified the specific shipments that it claims could not be timely picked up or returned by SEA or its CNTs, it is not possible to say whether the fault in any particular instance was attributable to SEA or to its CNT. But it does not matter, because, under the foregoing provision, SEA selected and controlled the CNT and SEA was responsible for both its own defaults and those of its CNTs.

As the evidence after discovery will show, and as OOCL has alleged (which must be taken as true), there was plenty of blame attributable to SEA and its CNTs. Among other things, Samsung/SEA repeatedly accrued demurrage by allowing shipments to linger at marine terminals for periods long past the expiration of free time, rather than directing its CNT to perform timely pickup. In so doing, SEA ignored multiple and timely communications from OOCL notifying it of each shipment's last free day and accrued demurrage. (CC, ¶35). Further, SEA did not timely respond to "long-dwelling letters" sent by OOCL, seeking instructions with respect to shipments in demurrage which continued to remain at the terminals. (CC, ¶36).

Despite agreeing to be responsible for delays associated with its CNTs and its apparent acceptance of the resulting charges by paying them without formal demur using OOCL's published procedure for disputing detention and demurrage invoices,² SEA apparently decided to improve its bottom line by demanding repayment from OOCL (and a host of other ocean common carriers), sending them demand letters seeking refunds of properly assessed charges. (CC, ¶¶41-2). The demand letter to OOCL, dated October 7, 2022, and captioned "NOTICE OF DEMAND FOR ACTION," baldly asserted that OOCL was required to refund SEA \$11 million, representing the

² OOCL maintains a robust and readily available system for cargo owners to contest detention and demurrage charges, which was characterized during a VOCC Audit Program as meeting the FMC's "best practices" for dispute resolution processes. (CC, ¶20). SEA, however, did not utilize this program to challenge or even mitigate the detention and demurrage charges that it incurred. (CC, ¶21).

amounts SEA purportedly paid (not only to OOCL but also to other service providers) simply because the underlying shipments moved under store door terms. (CC, ¶18). Inexplicably, the demand did not identify the relevant shipments by bill of lading, container or booking numbers; it did not correlate charges to specific shipments; and, most significantly, it did not explain why specific charges for these unidentified shipments should be mitigated or refunded. (CC, ¶19). Equally inexplicably, SEA did not in its demand letter or additional correspondence/discussions, explain why it failed to request additional free time when containers were sitting at the terminal or SEA facilities, or justify why it failed to timely challenge detention and demurrage charges at the time they were incurred or invoiced to SEA. This suspect tactic of failing to use a readily available way to seek redress and then presenting an unsupported bill for \$11 million more than two years later is sufficiently suspect to cast doubts on SEA's purported good faith.

OOCL responded to SEA's demand letter, noting that OOCL had not received any notices, documents or other information from SEA which described extenuating circumstances that impacted SEA's ability to timely return OOCL's containers, such as unavailability of appointments, return facility closures or other matters outside the control of SEA that would warrant mitigation of the detention charges that were rightfully assessed. OOCL advised SEA that OOCL would nevertheless review any documentation or information SEA provided which would "cast light on any conditions that prevailed at the time these charges were incurred...and reach a mutually satisfactory conclusion."

IV. ARGUMENT

A. The ALJ Erred in Dismissing the Counterclaim

a. The ALJ Appears to Have Applied the Wrong Standard of Pleading

SEA argued to the Presiding Officer that the Counterclaim under 46 U.S.C. 41102(a) should be evaluated under the heightened standard of pleading applied by federal courts in cases of fraud. Although the Presiding Officer said it was not necessary to decide if Federal Rule of Civil Procedure 9(b) should be imported into the Commission's Procedural Rules, he appears to have accepted the argument and allowed it to affect his analysis under the Commission's usual standard.

Contrary to SEA's argument, the Commission has repeatedly eschewed the use of heightened standards under any provision of the Shipping Act.³ Even more to the point, the Commission has repeatedly rejected the application of FRCP 9(b) to claims under 46 U.S.C. 41102(a).

The fact that the Commission did not adopt its own version of FRCP 9(b) when promulgating the FMC Rules of Practice and Procedure is by itself substantial evidence that the Commission concluded that such heightened requirements are not relevant to Commission administrative proceedings. This conclusion is confirmed by the Commission itself.

In 1993, the Commission proposed to amend its procedural rules to add a requirement, similar to F.R.C.P. 9(b), that would "require in all complaints alleging violations of section 10(a)(1) of the 1984 Act . . . the circumstances constituting such violations must be stated with particularity."

³ As the Presiding Officer himself recognized in another proceeding brought by SEA: "SEA is correct that **heightened** specifics are not required . . . *See Bell Atl. Corp. v. Twombly*, . . . at 570 ('[We] do not require **heightened** fact pleading of specifics, but only enough facts to state a claim to relief that is plausible on its face'). *Samsung Electronics America Inc., v. HMM Co. Ltd.*, Docket No. 24-23 (ALJ Order Partially Granting Motion to Dismiss, March 24, 2025). See, e.g., *Maher Terminals, LLC v. the Port Authority of New York and New Jersey*, Docket 12-02, 2015 WL 9426189 at **12-14 (Dec. 18, 2015).

Miscellaneous Amendments to the Rules of Practice and Procedure, 26 S.R.R. 1053, 1053 (FMC 1993). After comments, however, the Commission concluded that no such new procedural rule regarding section 10(a)(1) (since codified as 46 U.S.C. 41102(a)) was warranted and that the pleading rules should apply equally to all alleged violations of the Shipping Act. *Id.* at 1055 (“we are satisfied that a new procedural rule applicable to only to section 10(a)(1) is not needed at this time”).

This decision not to require a heightened pleading standard for complaints raising claims under 46 U.S.C. 41102(a) was reaffirmed by then-Chief Administrative Law Judge Guthridge and the Commission in *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 31 S.R.R. 1369 (ALJ Order on Motions to Dismiss), *affirmed in pertinent part*, 32 S.R.R. 126 (FMC 2011). There, Judge Guthridge flatly ***rejected*** Respondents’ argument that complaints alleging violations of 46 U.S.C. 41102(a) had to be pled with greater than normal particularity or otherwise subjected to heightened pleading requirements. In this respect, he explained:

“Commission Rule 62 sets forth the requirements for a private complainant initiating a complaint proceeding. The Commission’s Rules do not include an equivalent to Rule 9(b) that requires a party to state with particularity the circumstances constituting fraud. . . . Neither [of the Respondents] cite to any Commission proceeding in which the pleading standard set out in Rule 9(b) was imposed on a complainant. As noted above, pleadings in administrative proceedings are not considered to be ‘critically important’” 31 S.R.R. at 1384.

Judge Guthridge went on to note the rulemaking discussed above and declared: “Where the Commission has determined that an equivalent to a federal rule is not needed (i.e., it is not consistent with the Commission’s administrative practice to require stating circumstances of section 10(a)(1) violations with particularity), I will not hold otherwise.” *Id.*

The full Commission upheld Judge Guthridge, over the dissent of Commissioner Khouri, who asserted that Rule 9(b) should apply. 32 S.R.R. 126 (FMC 2011).⁴

b. The Counterclaim Meets the Correctly Applicable Pleading Standard

Because the Presiding Officer's analysis appears to have been infected by his wrongful suggestion of a heightened standard of pleading, his Order cannot stand, and the Commission should reverse. Because the Commission on exceptions possesses "all the powers which it would have in making the initial decision," 46 C.F.R. 502.227(a)(6), it would appear more efficient for the Commission to review the dismissal on its own, which it does *de novo*,⁵ so that it may return the matter to the Presiding Officer and allow both the Complaint and the Counterclaim to go forward without unnecessary delay.

i. The Applicable Standard on Motions to Dismiss

As explained above, the Commission has expressly rejected the application of any heightened or different standard of pleadings review for claims under 46 U.S.C. 41102(a). Accordingly, such claims are subject to the standard applicable to all other complaints alleging a violation of the Shipping Act. And as the Commission has repeatedly stated, it is a fundamental principle of the Shipping Act that the Commission is statutorily obligated to hear any complaint

⁴ The Presiding Officer incorrectly cited Commissioner Khouri's opinion in *Mitsui* as a concurrence. It was not, but rather a dissent to the majority's opinion. Commissioner Khouri specifically designated his opinion as a Concurrence and Dissent, and his statement that the Commission should incorporate F.R.C.P. 9(b) into its procedural rules was clearly part of the dissent, as it was directly contrary to the Commission's affirmance of the ALJ's decision that section 9(b) should *not* be applied.

⁵ See, e.g., *SSA Terminals, LLC v. City of Oakland*, 32 S.R.R. 325, 328 (FMC 2011); *Maher Terminals LLC v. PANYJY*, 2015 WL 9426189 (FMC 2015).

alleging a Shipping Act violation, unless the complaint is so deficient as to require dismissal for failure to state a claim.⁶

The standard used by the Commission in evaluating whether a complaint is so deficient as to mandate dismissal is what is commonly referred to as the *Iqbal/Twombly* plausibility standard, named after two Supreme Court cases establishing standards to be applied under F.R.C.P. Rule 12(b)(6).⁷ Under the *Iqbal/Twombly* standard, a complaint is immune to dismissal as long as it contains sufficient factual allegations, ***which must be accepted as true***, to “state a claim for relief that is plausible on its face.” *Twombly* at 570. And a claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Iqbal* at 663.

At the motion to dismiss stage, the question before the Commission is not whether the complainant is likely to prevail on its claim, but only whether the claim is adequately pled. *Negron v. USAA Casualty Insurance Co.*, 2014 WL 4411676 at *2 (M.D. Tenn 2014). See, e.g., *Twombly*, 550 U.S. at 556; *United States v. Yale New Haven Hospital*, 727 F. Supp. 784, 786 (D. Conn. 1990) (“issue on a motion to dismiss is not whether the plaintiff will prevail, but whether the plaintiff is entitled to offer evidence to support his or her claims”). It is sufficient if the Counterclaim’s factual allegations are enough to “raise a right to relief above the speculative level and . . . nudge across the line from conceivable to plausible.” *Marine Transportation Logistics, Inc. v. CMA CGM*, Docket

⁶ See, e.g., *Cargo One, Inc. v. COSCO Container Lines, Co.*, Dkt. No. 99-24, 2000 WL 1648961 (FMC, Oct. 31, 2000); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006); *Waterman S.S. Corp. v. General Foundries Inc.*, Docket No. 93-15. 1993 WL 13975538 at *5 (Init. Dec. December 9, 1993), *partially adopted*, 1994 WL 279898 (FMC 1994) (“Congress has given persons such a right to file their complaints before the Federal Maritime Commission and has, furthermore, required the Commission to investigate any such complaint”).

⁷ *Ashcroft v. Iqbal*, 556 U.S. 662 (2009) (“*Iqbal*”) and *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) (“*Twombly*”).

No. 18-07, 2019 WL 5206007 at *3 (ALJ, Order Denying Motion to Dismiss, October 8, 2019).

Furthermore, the “choice between two plausible inferences that may be drawn from factual allegations is not a choice to be made by the court on a Rule 12(b)(6) motion.” *Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 185 (2d Cir. 2012). All a complainant must do is simply present “enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violation. *Twombly*, 550 U.S. at 556.

Furthermore, in evaluating a motion to dismiss, the Commission must not only treat the allegations as true, but it must also “construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint.” *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620-621 FMC 2014) (citations omitted). Accordingly, all well-pleaded factual allegations in the counterclaim are assumed to be true and construed in the light most favorable to OOCL, bearing in mind that discovery has not yet occurred, which OOCL expects will provide additional information to flesh out its claims.

ii. **The Substantive Standards Under 46 U.S.C. 41102(a)**

The Shipping Act provides: “A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, ***or any other unjust or unfair device or means***, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. 41102(a) (emphasis added). To make out a violation of 46 U.S.C. 41102(a), a complainant must show that: (a) a person, (b) knowingly and willfully, (c) by an unjust device or means, (d) obtained ***or attempted to obtain*** ocean transportation rates for property at less than the rates or charges that

would be otherwise applicable. *Rose International, Inc. v. Overseas Moving Network International, Ltd.*, 29 S.R.R. 119, 158 (FMC 2001).

c. The Counterclaim Adequately Alleges all 46 U.S.C. 41102(a) Elements

Although the Presiding Officer focused on criteria three and four, above, we now address each of the elements of a claim under 46 U.S.C. 41102(a) and show that the Counterclaim adequately alleges each of them. The Presiding Officer's contrary conclusions as to elements three and four are simply erroneous and the result of faulty and overly narrow analysis, contrary to the *Iqbal/Twombly* standard.

i. "Person"

There can be no doubt that SEA is a "person" within the meaning of 46 U.S.C. 41102(a), and neither SEA nor the ALJ suggests otherwise. That term is defined to "include corporations, companies, associations, firms, partnerships, societies, and joint stock companies, as well as individuals." 1 U.S.C. 1. Or as the Commission has explained, the words "any person," as used in 46 U.S.C. 41102(a), is fully as broad as the words "shipper, consignor, consignee, forwarder, broker, or other person. *U.S. Lines and Gondrand Bros*, 7 F.M.C. 464, 471 (FMC 1962); *OC International Freight, Inc.*, Docket No. 12-01, 2014 WL 5316336 (FMC 2014). See *Unpaid Freight Charges*, 26 S.R.R. 737, 739 (FMC 1993). The Counterclaim alleges that SEA "is a corporation, organized and existing under the laws of the State of New York, with a principal place of business at 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118." Counterclaim at Paragraph 7; Complaint at Paragraph 1. SEA also functioned as consignee with respect to the challenged shipments, Complaint at 34, so is also a "person" in that respect.

ii. “Knowingly and Willfully”

A person is deemed to have acted “knowingly and willfully” “if the person had knowledge of the facts of the violation and intentionally violated or acted with reckless disregard, plain indifference, or purposeful, obstinate behavior akin to gross negligence.” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, Docket No. 96-05, 29 S.R.R. 119, 164-165, (FMC June 1, 2001); *OC International Freight, Inc.* Docket No. 12-01, 2014 WL 5316336 at *3 (FMC July 31, 2014) Here, the Counterclaim alleges that SEA, along with its parent company, “knowingly and willfully” engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply. Counterclaim Paragraphs 63, 65. Details regarding this allegation may be found in paragraphs 27-42 of the Counterclaim. And as discussed below, SEA knew or should have known that it, not OOCL, was responsible for delays involving SEA’s preferred trucker, which SEA both selected and controlled. Certainly, no more than this is required prior to discovery, which we expect will turn up more detailed information about the scheme between SEA and its parent. And even if more were needed, it could readily be provided via amendment, a matter we discuss below.

iii. “Unjust Device or Means”

The Presiding Officer’s definition of an unjust device or means was considerably more constricted than that of the Commission itself. He started his faulty analysis with a substantial error regarding the nature of OOCL’s claim, saying that the claim relies on the assertion that the unfair device or means was SEA’s filing of the Complaint, and nothing else. But he immediately goes on to disprove his own claim, quoting (correctly) Paragraph 42 of the Counterclaim, as follows (emphases are from the Presiding Officer’s Order):

“42. In demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that OOCL waive future lawful charges, and **in**

bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, ***SEA has knowingly and willfully engaged in a unjust or unfair device or means*** to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act.”

As evident from the above, the Presiding Officer focused exclusively on the highlighted portion, wholly ignoring the first two phrases and the use of the “and” connector, which states: “***In demanding refunds of charges*** imposed pursuant to the terms of the Service Contracts, and in demanding that OOCL waive future lawful charges, ***and . . .***” (Emphasis added). Even without the injunction that the Commission must “construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint,” the Presiding Officer’s reading of the paragraph is simply wrong. Paragraph 42 on its face plainly alleges ***two*** devices or means. The first, ignored by the Presiding Officer, is SEA’s pre-Complaint action of demanding a rebate, both by correspondence and in a meeting that SEA bullied OOCL into attending halfway across the country. Accordingly, OOCL was entitled to submit a claim against SEA well before SEA filed its Complaint and could have maintained a claim against SEA even if SEA had never filed a complaint at all.

The Commission and courts have held that a party’s attempts to pressure another party into granting a refund by means other than a complaint may constitute an unfair device or means within the meaning of 46 U.S.C. 41102(a). In *Hohenberg Brothers Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963), for example, the court, in upholding a cease-and-desist order issued by the Commission, held that an entity violated a predecessor of 46 U.S.C. 41102(a) when it demanded refunds to which it was not entitled. In that case, as here, the shipper paid the charge assessed by the carrier, then demanded a partial refund. In finding an unjust device or means, the court stated:

“In this case, Hohenberg demanded a rebate on the basis of a claim that it knew **or should have known** to be false. Such action is similar in nature to ‘false billing,’ ‘false classification,’ etc., and under well known principles of statutory interpretation may properly be considered to fall within the comprehensive final phrase ‘any other unjust or unfair device or means.’” *Id.* at 385 (emphasis added).

The instant matter is on all fours with *Hohenberg*. Here, SEA knew, or certainly should have known, that the service contract its parent company signed and to which it was bound as an official affiliate specifically provided that SEA, **not OOCL**, would be responsible for delays involving the preferred trucker chosen, and controlled, by SEA. SEA and its parent went ahead, paying the lower ocean freight that was a *quid pro quo* to its agreement to bear the costs of delay, then demanded a refund of essentially all the delay charges it had paid, including charges neither assessed by OOCL nor paid by SEA to OOCL.

Furthermore, all that a complainant must plead to make a plausible allegation of an unjust or unfair device or means is “**some element** of falsification, deception, fraud, or concealment.” *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (emphasis added) (quoting from *Pacific Far East Lines – Alleged Rebates*, 11 F.M.C. 357, 364 (FMC 1968), *aff’d* 410 F.2d 237 (D.C. Cir. 1969)). See, e.g., *Rana v. Franklin*, Docket No. 19-03, 2020 WL 2538465 at *23 (Initial Decision, May 12, 2020), *affirmed*, 2022 WL 1744905 (FMC May 23, 2022); *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 1994 WL 279898 at *7 (FMC 1994).

Although OOCL believes that its pleadings sufficiently allege deception, and perhaps even fraud, it is not necessary to examine those elements, as the Counterclaim plainly alleges concealment. Although the Presiding Officer saw no concealment, that is because he reviewed the Counterclaim through occluded glasses, rather than with the liberality required by the *Iqbal/Twombly* standards (perhaps influenced by his improper support for a heightened standard of pleading).

The crux of the deception does not turn on SEA's filing of the Complaint, as we discuss further below with respect to the issue of attempting (and here getting) rates below those otherwise applicable. Rather, OOCL's claim of concealment dates to the very signing of the applicable service contract and continues throughout the term of the contract. OOCL offered SEA's parent Samsung (and SEA as an affiliate) rates lower than the otherwise applicable tariff rates based on two main conditions – that (i) Samsung guarantee a certain minimum cargo volume and (ii) Samsung agree, as made crystal clear by the Service Contract and incorporated tariff, that SEA, not OOCL, would be legally responsible for any delay charges involving the trucker chosen and controlled by SEA.

Samsung, by signing the Service Contract under those conditions, without any objection or reservation of rights, clearly acquiesced in both the minimum volume commitment and its own liability for delays attributable to its trucker.⁸ But neither Samsung nor SEA informed OOCL – then or during the term of the contract – that it disagreed with the assignment of liability to which it had plainly agreed. Had Samsung/SEA told OOCL of this unstated reservation, OOCL would not have entered into the Service Contract – requiring Samsung to use its transportation services, if at all, only pursuant to much higher tariff rates – or would have entered the contract only at rates higher than those actually granted by OOCL, to compensate for accepting liability that the contract assigned to SEA. The same would have been true during the term of the contract; had Samsung/SEA announced its position, OOCL would have taken countermeasures, including possible termination of the contract, unless SEA agreed to higher rates, or employment of a dispute resolution mechanism.

⁸ As explained in the Counterclaim, the right of SEA to choose and control its trucker was demanded by Samsung in its RFP, and Samsung accepted the resultant assignment to it of liability for trucker delay.

The Commission has repeatedly found an unjust or unfair device or means where the shipper has induced a carrier to enter into a contract providing lower rates by concealing relevant facts. In *Unpaid Freight Charges*, for example, the Commission stated that it would have jurisdiction if the facts alleged “some kind of inducement or deceit” to obtain favorable treatment from a carrier. See, e.g., *Tropical Shipping & Construction Co., Ltd. v. Valley Wide Produce, Inc.*, Docket No. 93-05, 1993 WL 285897 (F.M.C.) (ALJ Default Judgment, July 20, 1993) (“Tropical claims that it was induced to provide shipment on a collect basis because Valley entered into a credit agreement The Commission has indicated that such conduct by shippers will support claims of violations of section 10(a)(1))”); *Rana v. Franklin*, Docket No. 19-03, 2020 WL 2538465 at *3 (Initial Decision, May 12, 2020) (“There is an abundance of evidence in the record that establishes fraud and deceit by the Respondent. In February 2019, the Respondent knew or reasonably suspected that her company may close soon, but failed to disclose this material information to the complainant when they entered into an agreement”), *affirmed*, 2022 WL 1744905 (FMC May 25, 2022); *Waterman S.S. Corp v. General Foundries, Inc.*, Docket 93-15, 1994 WL 279898 at *7 (FMC 1994); *Shipco Transport, Inc. v. Saturn Air Cargo*, 27 S.R.R. 437 (respondent NVOCC induced complainant to extend it credit and release cargo). Although these cases involved inducement to release cargo or carry it without prepayment, there is no logical distinction between that situation and one where a shipper induces a carrier to enter into a service contract at rates the carrier would not have agreed to absent concealment or misrepresentation by the shipper.

Even if the Counterclaim did rely on SEA’s litigation as the sole basis for its allegation of an unjust or unfair device or means and detention and demurrage as the way SEA was seeking lower rates, which it did not, the Counterclaim would still make out a plausible claim under 46

U.S.C. 41102(a). The Commission and courts have held that an unjust or unfair device or means may be found where the shipper interposes non-meritorious arguments in litigation.

In *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979), for example, an unjust or unfair device or means was found based, in part, on the shipper's continuous assertion of invalid defenses. And in *Bank Line Limited v. Jet Set Marine, Inc.*, Docket No. 91-58, 26 S.R.R. 380 (ALJ Denial of Summary Judgment, May 8, 1992), the ALJ recognized that interposition of erroneous defenses might constitute an unfair or unjust device or means but found the evidence at the summary disposition stage insufficient to render a decision. Although these cases involved non-meritorious defenses, there can be no logical distinction between a non-meritorious defense and a non-meritorious claim of violation. To invert an old saying, what is improper for the goose must be equally improper for the gander.

iv. Obtain or Attempt to Obtain Lower Rates

The Presiding Officer concluded that SEA neither attained lower rates nor attempted to do so. That conclusion reflects the Presiding Officer's jaundiced analysis of the Counterclaim. He focused exclusively on the detention and demurrage charges, ignoring the ocean freight rates. But as discussed above, one gist of the Counterclaim is that SEA concealed relevant facts to achieve ocean freight rates that it would not have obtained from OOCL had it been forthright and forthcoming both at the start and throughout the term of the contract. Thus, SEA both attempted to and did obtain rates below those that would have applied absent its concealment (i.e., tariff rates or higher contract rates).

Even looking at just the detention and demurrage charges, the Presiding Officer fumbled the ball. As explained above, a demand for refund of charges paid *is* an attempt to obtain rates lower than the otherwise applicable rate. See *Hohenberg, supra*. Unless the Commission and court were

wrong in that case, *a fortiori* SEA's repeated attempts, including this litigation, to strongarm OOCL (and other carriers) into refunding charges, must equally be deemed an improper attempt to obtain rates lower than those otherwise applicable.

B. The ALJ Erred in Not Allowing Counterclaimant to Amend

The Presiding Officer strayed considerably beyond the judicial norm when he refused to allow Counterclaimant to fix any perceived faults by amending the Counterclaim. Although he paid lip service to the Commission's (and the courts') pronouncements favoring liberal allowance of amended pleadings, by asserting futility, he clearly strayed from the Commission's guidelines. As the Commission has explained:

“Although the ALJ may in [their] discretion dismiss a [pleading] without leave to amend, the Commission typically allows liberally. . . . This approach is similar to that taken by federal courts, which usually allow leave to replead after granting a motion to dismiss. . . . ‘Generally, where a more carefully drafted complaint might state a claim, a plaintiff must be provided with at least one opportunity to amend before the court dismissed with prejudice.’ . . . ‘The standards for dismissing a complaint with prejudice is high.’ *Maier Terminals, LLC v. PANYNJ*, Docket No. 12-02, 2015 WL 9426189 at *39 (FMC 2015) (citations omitted).⁹

There, the Commission upheld the dismissal with prejudice of some claims, while reversing the dismissal of others. And the Commission criticized the ALJ's facile reliance on the futility standard, saying:

“The ALJ's conclusion that amendment would be futile, however, is unsupported. The ALJ did not explain why it would be futile for Maier to amend its complaint nor find ‘that the allegation of other facts consistent with the challenged proceeding ***could not possibly*** cure the deficiency.’ There is no reason to believe that, if granted leave to amend, Maier could not cure some of the complaint's deficiencies.

⁹ For just a smattering of cases where Administrative Law Judges have liberally allowed leave to amend pleadings, see, e.g., *D.F. Young, Inc. v. Wallenius Wilhelmsen Logistics*, Docket No. 23-14, 2024 WL 40246 (ALJ Order Granting Leave to Amend Complaint, January 23, 2024); *CCMA LLC v. Maersk A/S*, Docket No. 22-01, 2022 WL 458571 (ALJ Order Granting Motion to Amend Complaint, February 7, 2022); *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd*, Docket No. 21-05, 2022 WL 458569 (ALJ Order on Motion to Amend Complaint, February 4, 2022).

Consequently, dismissal premised on futility alone would be unwarranted.” *Id.* at *40 (citation omitted).

The Commission allowed some of the claims to remain dismissed only because the ALJ had given other reasons for dismissal in addition to futility. For one thing, unlike here, Maher had already obtained substantial discovery. And for another, again unlike here, Maher did not ask for leave to amend until after its complaint had been dismissed.

As explained above, Counterclaimant believes that its Counterclaim already contains all that is necessary to present a plausible claim, at least when the Counterclaim is read with the liberality required by the *Iqbal/Twombly* standard. But if the Commission concludes that some of the allegations are not sufficiently clear or complete, it should allow Counterclaimant the opportunity to amend that the Presiding Officer denied.

V. CONCLUSION

For the foregoing reasons, the Order dismissing the Counterclaim should be reversed and the Counterclaim reinstated or, alternatively, the Respondents should be allowed the opportunity to amend.

DATED: April 16, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 16th day of April, 2025, a true and correct copy of the foregoing Respondents' Appeal of Order Granting Complainant's Motion to Dismiss the Counterclaim were served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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